minotaur: Dex Aggregator Launches on Subnet 112

Subneт Magazine
@subnetmagazine · Sep 21 ·

@minotaursubnet went live on the @Bittensor network this weekend as **Subnet 112**, introducing the ecosystem's decentralized exchange (DEX) aggregator and swap intent solver engine. **Though no product has been launched,** minotaur has released its github, outlining its core concepts, mission and roadmap. This subnet’s goal is to make crypto trades and swaps faster and cheaper and a lot more efficient by utilizing a crowd source mechanism.

The platform works in competition of existing centralized solutions like @1inch or @Uniswap by using a distributed network of participants to enable faster, lower-cost, and more efficient cryptocurrency trades, bypassing centralized dependencies.

minotaur ventures to allow users to submit swap intents with defined parameters, such as minimum output amounts, slippage tolerance, or deadlines. It then facilitates a competitive process among miners to identify the most effective liquidity paths from various sources, including automated market makers (AMMs), request-for-quote (RFQ) systems, market makers, and other aggregators. The winning solver executes the trade, receiving incentives while delivering better pricing and reliability to users.

Future plans include cross-chain expansion to access broader liquidity and the development of a distributed order book managed by validators to enhance overall DeFi performance within the ecosystem.

How it Works:

The system's workflow is pitched to emphasize MEV (maximal extractable value) resistance and transparency, supported by public leaderboards. It begins with “ingestion”, where users or decentralized applications (dApps) send signed intents (“swapping 100 USDC for at least 0.05 ETH by a specific deadline”) to validators, incorporating constraints like slippage or expiration times.

Validators then organize these intents into short batch epochs for grouped processing. In the solver competition phase, miners retrieve the batches, calculate optimal settlements, and submit bids.

Finally, validators score and select bids. The top bid proceeds in a “winner-takes-most” framework, ensuring trades are secure, verifiable, and protected against exploits.

Rewards are allocated based on performance: miners are compensated for uptime, fill rates, accurate settlements, and low revert rates, while validators earn for maintaining low latency, high uptime, and alignment with consensus scoring, with penalties applied for any manipulation.

Roles:

According to the subnet’s sparse github, users and dApps submit signed swap intents, along with the ability to cancel or replace orders and monitor executions through APIs and streams. They’ll benefit from optimal pricing, MEV protection, and reliable trade fulfillment.

Miners, focused on incoming requests by availability, are responsible for generating quotes and computing settlements that prioritize the best trade for the user. They compete on factors like token efficiency, gas usage, and speed.

Their incentives include solver fees paid in the target buy tokens, plus emissions distributed based on performance in a “winner-takes-most” model.

Validators manage processes, aggregating incoming trades via APIs, forming and publishing batches, collecting and benchmarking solutions, and co-signing the best one for on-chain execution. They receive emissions for uptime, low latency, and consensus alignment.

Settlement contracts verify user signatures, constraints, cancellations, expirations, and validator quorum attestations, only transferring tokens once all checks are cleared.

minotaur’s Competition:

Other subnets in the space that are trying to build similar deFi products like cross-chain swaps:

SN10 - @_TaoFi_, which has created a cross-chain bridge and opened up subnet trading on Base with a TVL of about $1,970,749.26 USD and 24 hour fees of about $1,871.94 USD)

SN 35 - @0x_Markets (Cartha) has yet to release a product, working towards creating transparent trading environments that lowers the barrier of entry for the exchange of commodities in crypto with the promise to provide deep liquidity pools and incentives in a dual-reward structure.

These DEXs have not been able to find proper footing in the decentralized marketplace just yet.

The Roadmap:

The project's projected timeline reflects an ambitious, structured progression.

The subnet activated earlier this week, with validator code now operational, though the team's X account highlighted potential issues in the early stages:

> **minotaur** @minotaursubnet · Sep 19
> ⏳Subnet going active within approx 1 hour.
>
> ❌Do not stake/buy prior to activation.
>
> ❌🦧Do not ape once active!
>
> Post activation-->
> ⚠️Warning Low Liquidity: Watch your slippage as it will be high for even small buys.
> Reminder: Root proportion is highest at the start.
>
> 🧠If you
> Show more
>
> 2 13 747

Post activation

minotaur @minotaursubnet · Sep 19

minotaur subnet 112 has been activated 🐂

🟢Staking into minotaur now possible but proceed with caution.

❌🦧 Do not ape!
❌🦧 Do not ape!
❌🦧 Do not ape!

⚠️Warning Low Liquidity: Watch your slippage as it will be high for even small buys.
Reminder: Root proportion is highest
Show more

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This guidance has resonated within the Bittensor community, emphasizing careful engagement amid initial low liquidity. A good sign of responsibility from a subnet owner, which is refreshing to see.

As part of their subnet activation, the team has published its initial roadmap - see their GitHub:

Phase 0 (Launch, Month 0–1) covers subnet activation, validator network deployment, a live intent forwarder, website and branding updates, and ecosystem collaborations. Miner emissions are not yet active, with validators operating in burn-only mode.

Phase A (Training, Month 1–3) focuses on miner onboarding, with emissions rewarding useful work such as outperforming competitors on real auctions. Validators earn for scoring and timely attestations but do not execute orders. This includes solver interfaces, basic observability dashboards, and initial marketing, while the subnet accumulates alpha for audits, infrastructure, grants, and development.

Phase B (Release, Month 3–6, around November 2025) involves deployment on Base, settlement and fee management contracts, a swap app, advanced protocol fee handling, ongoing benchmarking against competitors, and user marketing. Miners will earn solver fees from optimizations in buy tokens alongside emissions, and validators will begin executing settlements while continuing to receive emissions. The subnet may receive a share of protocol fees for strategic deployment, reserves, or alpha buybacks.

Phase C (Advancement, Month 6–11) completes Core v1 with multi-chain adapters starting on Ethereum after Base, executor incentives via bonds and slashing, anti-spam features like quotas and dust limits, enhanced leaderboards for validators and solvers, and comprehensive security audits for contracts and validator code.

Why minotaur Matters for Bittensor:

minotaur represents a significant expansion of Bittensor's subnets' capabilities and current offerings. By integrating DeFi functionalities like DEX aggregation and intent solving, it leverages Bittensor's incentive mechanisms (rooted in competitive validation and mining) to address real-world challenges in cryptocurrency trading, such as high fees, MEV vulnerabilities, and inefficient liquidity routing.

This could not only attract DeFi users and developers to the ecosystem but also showcase how Bittensor's architecture can support diverse applications, potentially increasing overall network adoption and value.

If the subnet grows and becomes institutional, it could enhance liquidity across the Bittensor network, foster cross-chain integrations, and create new revenue streams through protocol fees that bolster subnet sustainability.

All that said, in the early days of the subnet, those wanting to buy the subnet's alpha tokens should approach with caution, using strategies like dollar-cost averaging, while monitoring leaderboards for performance insights once published.

As the saying goes, "a scam until proven otherwise".

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